

the digital data movement of millions of Indian citizens,” he says.

RBI is keenly aware of its potential. Speaking at the Global Fintech Festival last year, RBI Governor Shaktikanta Das had said it was an important step in empowering millions of underserved customers. “This is a progressive step to help customers gain control over their financial data and use it for accessing a variety of products, including credit, insurance, and investments, for their own benefit.”

Since it was introduced in 2021, AA usage has expanded from basic functions like the underwriting of loans to personal finance management, portfolio management, monitoring loan accounts, loan collection, insurance policy issuances, opening of demat accounts, and investment advisory.

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“Remember how many weekends you have wasted struggling to reconcile your investments, loans, and expenses in an Excel sheet? AAs can provide consolidated data that can be presented in a simple dashboard,” says Indraneel Pandit, Chief Digital Officer of Federal Bank.

With the expansion of use cases, consent requests too have jumped. B. G. Mahesh, CEO of Sahamati, the market-led industry alliance for the AA ecosystem, says cumulative consent requests have skyrocketed from 5.5 million in FY23 to 63.75 million in FY24. “This indicates a higher degree of comfort and acceptance of the system,” he says.

With the basics now in place, the industry is getting creative with use cases. It is betting on AAs’ use for products like loans against mutual fund units. Though this product isn’t new per se—having been around for 10–15 years—it hasn’t gained traction. According

CREDIT ON UPI REACHING THE MASSES



By leveraging UPI’s existing infrastructure, widespread reach and simplicity, credit can reach unbanked and underbanked sections



Digital credit processes coupled with UPI can lower operational costs, making credit more affordable and accessible



Alternative credit scoring models, using data from UPI transactions, can improve credit assessment and reduce reliance on traditional credit scores



UPI-based credit can enable customised financial products suited to the needs of smaller regions and underserved populations

to RBI data, loans against securities come up to a paltry ₹9,000 crore of the total retail lending book of ₹55 lakh crore.

But the potential here is huge if you consider the current AUM (assets under management) of mutual funds at ₹61 lakh crore. “This is a secured loan; it satisfies the need for money through a secured product rather than an unsecured one. There can’t be a valuation mismatch. There is full transparency, powered by the citizen’s consent,” says Manchanda.

There are other use cases, too. “The AA platform is especially relevant for the relatively unbanked section and MSMEs who may be constrained in their credit history and may also find it difficult to collate and provide the required documentation,” says Pandit of Federal Bank.

A recent study by the Asian Development Bank Institute highlights how the AA network is levelling the playing field between banks and non-banking financial companies (NBFCs) in terms of service to MSMEs. Banks traditionally enjoyed an advantage by maintaining current accounts for businesses, providing them essential cash flow data. “With the GSTN data access through the AA network, lenders obtain vital insights into an enterprise’s cash flows. Such additional information can be useful to evaluate the credit of MSMEs, create a risk profile, and make a customised loan offering following risk-based pricing,” states the study.

It would, of course, be a mistake to limit AA’s potential to the financial sector, though the system primarily handles financial data. “The AA system is built on a robust and flexible architecture with the potential to revolutionise data sharing across multiple sectors beyond just finance,” say industry officials.